DISADVANTAGES

1. **Difficulty in Calculating Depreciation:** Calculation of depreciation is easy only when life of the original asset and its additions are similar. When both have varied life calculation becomes difficult and complicated.
2. **No Provision for Replacement of Asset:** This method does not provide any provision for replacement of asset on the expiry of its useful life.
3. This method increases the charge to the Profit and Loss Account over the years because the repairs to an old asset increases.
4. This method increases the cost of the asset over the years as the amount of depreciation is fixed over the years.

2. Diminishing Balance or Written Down Value Method

In this method depreciation is charged at a fixed percentage on the reducing balance of the asset every year over the useful life of the asset. The amount of depreciation goes on decreasing every year. This method is very useful for plant and machinery where additions and extensions take place very often.

ADVANTAGES

1. It is a simple method of providing depreciation as fixed rate is applied on book value or written down value of assets.
2. This method is quite popular.
3. It provides uniform charge for services of the assets throughout the life.

DISADVANTAGES

1. The method is slightly complicated.
2. If the asset has no residual value it is very difficult to calculate the rate.

SUITABILITY

This method of charging depreciation is suitable when – (a) the possibility of obsolescence are more, and (b) the amount of repairs and renewals increases as the asset grows older.

3. ANNUITY METHOD

Annuity method considers both the value of asset and the amount of interest on the investment made in the fixed asset. Besides, interest, a fixed amount of depreciation is calculated on the basis of depreciation from Annuity Table and is charged to Profit and Loss Account every year. The method is precise and exact from the point of view of calculations, so it is called a scientific method.

ADVANTAGES

1. This method takes interest on capital invested in the asset into account.
2. It is regarded as most exact and precise from the point of view of calculations and is therefore most scientific.

DISADVANTAGES

1. The system is complicated and difficult to understand.
2. The ultimate consequences being that the net burden on profit and loss account grows heavier each year.

SUITABILITY

This method of calculating depreciation is suitable for those assets which require huge amount of capital, like, leasehold property.

4. DEPRECIATION FUND METHOD

This method provides funds for the replacement of the asset at the end of

Chapter_07.indd 105 18-12-2019 12:18:50